

EGERTON**UNIVERSITY****UNIVERSITY EXAMINATIONS****REGULAR/SSP -NJORO CAMPUS****SECOND SEMESTER, 2024/2025 ACADEMIC YEAR**

**FIRST-YEAR EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE/BACHELOR OF PROCUREMENT & SUPPLY CHAIN
MANAGEMENT/BACHELOR OF ENTREPRENEURSHIP/BACHELOR OF EDUCATION**

CACT 112 PRINCIPLES OF ACCOUNTING II**STREAM: BCOM****TIME: 2 HRS****EXAMINATION SESSION: APRIL****YEAR: 2025****INSTRUCTIONS:**

- (i) Answer Question ONE and ANY other TWO questions.
- (ii) Do not write on the question paper.

QUESTION ONE**(Total: 30 marks)**

- a) Maji Matamu Ltd., is a firm that manufactures Tamu Juice a blended fresh fruit juice. On 1 January 2024, 100,000 litres of Tamu juice were in stock. During the year ended 31 December 2024, the company manufactured 366,000 literes of juice. The company sold 400,000 litres of juice at a price of Ksh 680 per litre.

The following trial balance was extracted from the books of the company for year ended 31 December 2024.

	Sh. "000"	Sh. "000"
240,000 Ordinary share capital of Sh.100 each		24,000
Retained earnings (1 January 2024)		3,000
Factory land and building at cost (land Sh.11,000,000)	22,700	

Plant and machinery (at cost)	35,000	
Motor vehicle (at cost)	4,050	
Accumulated depreciation (1 January 2024):		
– Factory building		7,680
– Plant and machinery		2,930
– Motor vehicles		950
Inventories (1 January 2024):		
– Raw materials	3,280	
– Work-in-progress	11,000	
– Finished goods	56,000	
Sales		276,381
Purchases of raw materials	166,100	
Factory wages	3,810	
Office salaries	1,250	
Factory expenses	13,450	
Office expenses	3,866	
Allowance for doubtful debts		380
Accounts receivable	5,340	
Accounts payable		4,320
Bank		240
	319,881	319,881

Additional information:

1. Inventories as at 31 December 2024 were valued as follows:

	Sh. "000"
Raw materials	3,560
Work in progress	18,400
Finished goods	33,000

2. The allowance for doubtful debts is to be maintained at 5% of the accounts receivable.
3. As at 31 December 2024, accrued factory expenses amounted to Kshs.175,000 (including office expenses of Sh.75,000) and prepaid factory expenses amounted to Sh. 12,000 (including office rent and rates of Sh. 7,000).
4. Depreciation is to be provided on an annual basis as follows:

	Rate
Factory buildings	2%
Factory plant	20%
Motor vehicles	25%

5. The inventory of finished goods of Tamu juice on 1 January 2024 was valued at factory cost.
6. The directors of Maji Mazamu decided to transfer all of the Tamu juice manufactured to the warehouse at a mark-up of 10% from 1 January 2024.
7. The directors proposed a dividend of Sh.10 per share of the shares issued.

Required:

- (i) Manufacturing and Income statement for the year ended 31 December 2024. **(18 marks)**
- (ii) Statement of financial position as of 31 December 2024. **(12 marks)**

QUESTION TWO**(Total: 20 marks)**

- a) The following information relates to Pan Ltd. and Cake Ltd. in respect of the year ended 31 December 2016:

Income statement extracts:	Pan Ltd	Cake Ltd
Turnover	497,000	371,000

Cost of sales	258,000	153,000
Operating profit	138,000	79,000
Finance costs	19,000	–

Extracts from statements of financial position

Non-current assets	142,000	92,000
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Current assets:

Inventory	190,000	87,000
Receivables	46,000	42,000
Bank balance	89,000	44,000
Current liabilities	98,000	108,000
Term loan	33,000	–
Shareholders' funds	197,000	157,000

Note: All sales were on credit.

Required:

For each company, calculate and evaluate the following ratios:

- (a) Debt-equity ratio **(2 marks)**
- (b) Return on capital employed **(2 marks)**
- (c) Inventory turnover **(2 marks)**
- (d) Average collection period **(2 marks)**

- b) Tim Trade started a business selling timber on 1 April 2016. Due to his limited accounting knowledge, he has not maintained proper books of account. Tim Trade will pay you Sh. 275,000 to prepare his books of account and establish a good accounting system. He has provided you with the following information as of 31 March 2017:
- On 1 April 2016, he deposited Sh.6,000,000 into the business bank account. On the same day, he brought into the business a lorry with an estimated value of Sh.1,300,000 and an expected useful life of three years.
 - He borrowed Sh.2,000,000 at an interest rate of 15% per annum on 1 July 2016 from the bank. By 31 March 2017, no interest had been paid on the loan.
 - He paid salaries of Sh.3,600,000 by cheque for the year.

4. He had withdrawn Sh.90,000 from the bank every week from the business account for personal use during the year.
5. He purchased timber worth Sh.9,800,000 during the year and paid by cheque. Sh.790,000 worth of timber remained in stock as of 31 March 2017.
6. He purchased some equipment worth Sh.4,800,000 on the commencement of his business and paid by cheque. The equipment has an expected useful life of five years.
7. Rates for the year ending 30 June 2017 were Sh.180,000 but had not been paid.
8. Electricity bills paid through a bank standing order up to 31 January 2017 were Sh.1,200,000. Electricity bills for the remaining two months were estimated to be Sh.240,000.
9. Motor vehicle expenses amounting to Sh.910,000 and general expenses amounting to Sh.1,350,000 for the year ended 31 March 2017 were paid by cheque.
10. Insurance premium for the year ending 30 June 2017 of Sh.800,000 was paid by cheque.
11. The accountant sent invoices to customers for Sh.30,390,050 but only Sh.25,400,000 had been received through the bank by 31 March 2017. Debts totaling Sh.85,000 were declared bad debts during the year.
12. Some customers paid for timber in cash during the year amounting to Sh.3,630,000 out of which Sh.2,800,000 was banked. Tim Truda then withdrew Sh.495,000 in cash for personal use. The accountant used the rest of the cash to pay for general expenses of Sh.150,500 which was left in the cash box as of 31 March 2017.
13. Assume that one year has 52 weeks.

Required:

Income statement for the year ended 31 March 2017.

(12 marks)**QUESTION THREE****(Total: 20 marks)**

The following trial balance was extracted from the books of Intellectual Society as of 30 September 2016:

	Sh	Sh
Balance at bank, current account	724,800	
Accumulated fund 1 October 2015		5,771,200
Land and buildings, at cost	3,700,000	
Debtors for subscription	62,000	
Furniture and fittings	1,874,000	

Provision for depreciation of furniture & fittings		284,000
Subscriptions		1,450,800
Lecturer's fees	920,200	
Lecturer's travel and accommodation expenses	358,000	
Donations		108,000
Canon and projector repairs	17,000	
Projectors, cameras and audio equipment	190,400	
Depreciation of equipment		54,400
Rates and water	277,000	
Lighting and heating	367,200	
Rents of rooms		495,000
Wages – Caretaker	880,000	
– Restaurant	1,680,000	
– Bar staff	800,000	
Purchase of food	1,565,800	
Stock – bar 1 October 2015	475,600	
Bar receipts		4,032,000
Bar purchases	2,842,000	
Restaurant receipts		3,642,000
Loan	1,600,000	
Deposit account – bank		1,000,000
Interest payable and receivable	36,000	
Creditors for bar and food	178,400	
	<u>17,651,800</u>	<u>17,651,800</u>

Additional information:

1. The bar stock was valued at Sh.642,800 as at 30 September 2016.
2. It is expected that, of the debtors for subscriptions, Sh.43,600 will not be collectable.
3. The interest account is net. The loan is at a concessional rate of 4% while 10% has been earned on the deposit account. No changes have taken place all year to the principal sums involved.
4. An invoice for Sh.43,000 of wine had been omitted from the records at the close of the year although the wine had been included in the bar stock valuation.
5. Depreciation for the year is to be provided as follows:
 Furniture and fittings: Sh.194,000
 Projectors, cameras, etc. Sh.19,000.

Required:

- (a) Bar and restaurant trading account for the year ended 30 September 2016. **(6 marks)**
- (b) An income and expenditure account for the year ended 30 September 2016. **(8 marks)**
- (c) Statement of financial position as at 30 September 2016. **(6 marks)**

QUESTION FOUR

John, Brian, and Charles are in a partnership sharing profit and losses in the ratio of 3:2:1 respectively. Their partnership agreement provides as follows:

- Charles is entitled to an annual salary of Sh.2,700,000.
- Interest is to be allowed on capital at the rate of 10% per annum.
- John and Brian guaranteed that the total income of Charles from the firm shall not be less than Sh.15,000,000.

The partnership's trial balance as of 30 June 2017 is as follows:

	Sh.000	Sh.000
Capital Accounts:		
John		90,000
Brian		60,000
Charles		30,000
Current accounts:		
John		9,000

Brian		6,000
Charles	1,500	
Drawings:		
John	22,320	
Brian	14,880	
Charles	6,000	
Inventory as at 30 June 2017	36,000	
Gross profit		288,000
Premises at cost	63,000	
Motor vehicles at cost	50,000	
Equipment at cost	90,000	
Accumulated depreciation (1 July 2016):		
Motor vehicles	12,000	
Equipment	9,000	
Rent		39,000
Salaries and wages	72,000	
Water and electricity	9,900	
Office expenses	12,000	
Distribution expenses	58,500	
Bad debts	3,000	
Allowance for doubtful debts		1,350
Accounts receivables and accounts payables	33,000	27,150
Cash and bank balances	11,400	

532,500532,500**Additional information:**

1. As of 30 June 2017, accrued distribution expenses amounted to Sh.1,500,000 whilst rent paid in advance was Sh.3,000,000.

2. Depreciation is to be provided as follows:

Asset	Rate per annum	Method
Motor vehicles	20%	Straight line
Equipment	10%	Reducing balance

3. Allowance for doubtful debts is to be increased to 5% of the accounts receivable.

Required:

a) Income statement and appropriation account for the year ended 30 June 2017.

(7 marks)

b) Partners' current accounts.

(3 marks)

c) Statement of financial position as of 30 June 2017.

(6 marks)

d) Explain four errors that do not affect the balancing of a trial balance.

(4 marks)**(Total: 20 marks)**
